



Modison Limited (MODISONLTD)

Horizon: Swing (1-4 wk) · Bias tested: Neutral · As of 3 Jun 2026

AVOID / WAIT

CMP ₹314 (2 Jun)	52W H / L ₹313.70 / ₹114	MKT CAP ≈ ₹1,018 Cr	P/E (TTM) VS SECTOR ≈12.9x · ind. ~30x*	ROE / ROCE 32.0% / 30.9%
PROMOTER (Δ, PLEDGE) 52.16% · flat · pledge N/A	FII / DII FII 0.48% · DII N/A	BETA N/A (small-cap)	ADV N/A	DEBT (D/E) ₹174 Cr · ~0.36x

⚡ PRIMARY CATALYST — THE REASON IT MOVES NOW

Record Q4 FY26 (net profit +278% YoY to ₹36 Cr; EBITDA margin doubling to ~24.8% from 11.8%) has pushed Modison to its 52-week high — the decisive swing variable now is whether that margin step-up is structural or mean-reverts toward the historical 9–12%.

CATEGORY	QUANTIFIED IMPACT	PROBABILITY (SUSTAINS)	WINDOW
Financial inflection (margin)	FY26 PAT +194% to ₹72.5 Cr; OPM +1,166 bps	MEDIUM	Confirm at Q1 FY27 (~Aug 2026)

Priced in? Largely — stock sits at its 52W high (₹314 vs ₹313.70 high); the record print is reflected. One quant fair-value read (₹195–210) assumes margins normalise to 18–20%, i.e. **below CMP**. · Source: BSE/exchange FY26 results filing & Q4 analysis, May 2026

BULL

₹375–400 (+20–27%)

Q1 FY27 confirms OPM holds ~22%+; BESS/EV optionality re-rated.

BASE

₹285–315 (flat to -5%)

Consolidates near highs while market waits for margin proof.

BEAR

₹210–235 (-25 to -33%)

Margin mean-reversion toward ~18% pulls price to fair value.

Modison's silver/copper electrical-contact business posted a genuinely exceptional FY26, but the entire move is in the price at the 52-week high; with operating cash flow turning negative (–₹64 Cr) and debt rising ₹73→₹174 Cr against the profit spike, the swing risk/reward favours waiting for Q1 FY27 to confirm the margin is real rather than chasing.

CATALYST LADDER — SECONDARY TRIGGERS, RANKED BY IMPACT × PROBABILITY

TYPE	EVENT	QUANTIFIED IMPACT	PROB	TIMELINE	SOURCE / DATE
Financial	Margin durability test at Q1 FY27	OPM 24.8% vs hist 9–12%; ±25–30% to FV	M	~Aug 2026	Q4 analysis, May 2026
Capital action	Final dividend ₹3/sh (300%)	~1.1% yield; AGM ratification	H	AGM ~Aug–Sep 2026	Board, TipRanks/Scanx, May 2026
Capacity	Vapi land purchase (MoU ₹9.10 Cr)	HV/EHV capacity headroom; capex-led	M	FY27 build-out	Company filing
Restructuring	BESS + EV-charging foray (MoU RENERA / L-Charge)	Optionality; no revenue yet	L	Long-dated	pv-magazine, Nov 2021
Ownership	Institutional meeting — Lucky Investments	Signals small-cap institutional interest	L	Held 3 Jun 2026	Scanx, May 2026
Operations	Vapi factory fire — recovery	Resolved; no casualties; ops resumed	L	Past (7 Feb 2026)	News, Feb 2026

WHAT THE STREET IS PRICING IN

KEY LEVELS & TRADE FRAME

No broad sell-side coverage (micro/small-cap; FII just 0.48%); consensus FY27/FY28 EPS & target range **N/A**. One quant model (MarketsMojo) rates **BUY** (score 72/100, upgraded from SELL Nov-2025) but pins fair value at **₹195–210**, assuming OPM normalises to 18–20% — i.e. **below the ₹314 CMP**. **IN the price**: the record Q4 + ₹3 dividend + ROE 32%/cheap ~13x optics. **NOT in the price**: proof the margin is durable, BESS/EV monetisation, and the cash-flow/working-capital fix.

Entry zone (on pullback)	₹255–275*
Stop (below swing/~50-DMA)	₹228*
Target 1 / Target 2	₹345 / ₹375*
R:R · suggested size	~1.8:1 · 1–2% (or wait)

*Approx — no live DMA feed; verify on chart. Chasing at the ₹314 high offers poor R:R; levels assume a mean-reversion entry.

RISKS TO WATCH

RISK	TRIGGER	DOWNSIDE	PROB
Margin mean-reversion	Q1 FY27 OPM slips toward 15–18%	–25 to –33%	M-H
Profit-quality / cash flow	OCF –₹64 Cr; debt ₹73→₹174 Cr; WC absorption	–15 to –25%	M
Valuation at 52W high	Momentum unwind / small-cap risk-off	–15 to –20%	M
Silver / input-cost swings	Silver volatility hits contact-material margin & WC	qualitative	M
Thin float / low liquidity	FII 0.48%, low ADV → sharper drawdowns	qualitative	M
Customer/segment concentration	Switchgear-OEM demand cyclical	qualitative	L-M

CATALYST CALENDAR

DATE	EVENT
3 Jun 2026	Lucky Investments institutional meet (held)
~Aug 2026	Q1 FY27 results — margin-durability proof
~Aug–Sep 2026	AGM — ₹3 final dividend ratification
FY27	Vapi land/capacity build-out progress

AVOID / WAIT

Excellent business (ROE 32%, ROCE 31%) and a real earnings inflection — but the whole story is priced at the 52W high, cash flow is negative and one fair-value read sits below CMP. Wait for a pullback to ₹255–275 or for Q1 FY27 to confirm the margin. **Flips the call**: a Q1 FY27 print holding EBITDA margin ≥20% (turns it BUY); a clean break-and-hold above ₹314 on volume would justify a tactical momentum long.

MPM · SCREEN — ANALYZE — INVEST

For information only; not investment advice or a solicitation. Modison is a small-cap with thin institutional float — position sizing and liquidity risk apply. Figures are consolidated FY26 unless noted; verify against the latest exchange filing before acting. *Sector P/E, beta, ADV and trade levels are approximate/unverified (no live feed). A stale standalone read of "FY26 rev ₹493 Cr / PAT ₹24.68 Cr" was discarded in favour of the consistent consolidated set (rev ₹710 Cr / PAT ₹72.5 Cr).

Sources: Screener.in (snapshot, 2 Jun 2026); MarketsMojo Q4 FY26 analysis (May 2026); TipRanks/Scanx board & results filings (May 2026); pv-magazine India (Nov 2021); BSE 506261 / NSE MODISONLTD; modisonltd.com (business profile). Date-stamped; unverifiable points marked N/A.

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